

3. Choose securities that best represent each asset class selected in Step 2. Low-cost index funds and select ETFs make good choices because they offer broad diversification and closely track asset-class returns.
4. Implement your asset allocation plan completely. Then rebalance your investments occasionally to control portfolio risk and enhance long-term return.

The rest of this book discusses these four steps in detail. [Part Two](#) discusses asset class and fund selection in detail. [Part Three](#) discusses portfolio management and, in particular, selecting an appropriate level of risk and return and maintaining the investment mix. I realize that this is backwards based on the four-step process. However, for our purposes, it works better to isolate various asset classes first and then discuss how to use them in different asset allocation strategies.

## **START WITH U.S. STOCKS AND BONDS**

Your objective is to build a list of asset classes and investments for inclusion in your portfolio. Most U.S. investors start their asset allocation search with the broad U.S. stock market index and a broad U.S. investment-grade bond index as the cornerstones of an allocation. They then add more from there. This makes sense because U.S. stocks and U.S. bonds have real positive returns over time and varying correlation with each other (see [Chapter 3](#)). In addition, U.S. investors pay bills in U.S. dollars. Thus a fairly high percentage of your portfolio should be allocated to dollar-denominated assets rather than assets denominated in foreign currency.

Ideally, investors would like to add other investments that are negatively correlated with U.S. stocks and bonds. Negatively correlated investments would smooth out portfolio volatility caused by the U.S. stock and bond markets. Unfortunately, finding investments with consistent negative correlation with both U.S. stocks and U.S. bonds is a near impossibility. They just do not exist. If you think you have found a negatively correlated asset class, something will change and the correlation will unexpectedly shift to positive, usually at exactly the time when you do not want it to.

A correlation shift occurred with commodity fund investors in 2008. Just at a time when some investors became convinced that commodity funds